REVISION HISTORY

REVISION NO.	EFFECTIVE DATE	ORIGINATOR	DESCRIPTION OF CHANGE
000		Ellen June Miguel	Initial documentation of the standard operating procedure for Creating Products in Jathnier Corporation.

REVIEWER/S:	APPROVER/S:
Gabriel Cuaycong – General Manager **Meraflor Cariquitan – Assistant to the Vice President**	**Melina G. Comedido - VP- Jathnier Corporation**

DISTRIBUTION LIST:

Dept/Function	Dept/Function	Dept/Function	Dept/Function
Office of the Vice President	Warehouse Department	Logistics Department	
Research and Development	Order Taker/Inventory/Dispatch (Production Planner)	Davao Baking Center	
Marketing Department (Jathnier)	Analyst	Information Technology	
Quality Assurance (Jathnier)	Purchasing Department	Operation Manager	
Store Operations	Central Marketing (REC)	Material Controller	

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1.0 Objective

1.1 Creating of Product procedure shall ensure that there is a thorough and documented product evaluation done for new and existing products to be produced and sold by the Jathnier Corporation.

1.2 This procedure shall also ensure that all necessary documentation per sub-process is defined.

2.0 Scope

This procedure defines the responsibilities of all departments involved in the conceptualization, development, and launching of new, changed, and reformulated products.

3.0 Definition of Terms

3.1 **Existing Product** refers to a product that is currently produced and sold by the Jathnier Corporation.

3.2 **Laboratory Production** is the production done to establish the initial production parameters and standards.

3.3 **Market Research** is an activity conducted to gather and analyze information on products, customers' needs, and competitors.

3.4 **Modified Product** refers to an existing product that has been reformulated or underwent packaging enhancement as a result of a conducted market research or food cost/paper cost evaluation.

3.5 **New Product** is a non-existing product that shall be developed, manufactured, and sold as a result of the Jathnier Corporation's annual planning.

3.6 **Product** refers to the finished goods, including its packaging material, produced and sold by the Jathnier Corporation.

3.7 **Product Creation Team (PCT)** consists of Jathnier Corporation associates who can directly contribute to the conceptualization, development, production, and selling of the new product.

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4.0 Procedure Details

4.1 Process Flowchart

RESPONSIBLE	ACTIVITY	INTERFACE/OUTPUT
Top Management	1. The Marketing Department or the R&D Department presents market research results.	R&D Supervisors/ Market Research Report
PCT	2. Is packaging development necessary? 2.1. If YES, proceed to activity 3. 2.2. If NO, proceed to activity 5.	R&D Supervisor (Operations)/ PM specifications
R&D Supervisor (PM)	3. Coordinates with the Buyer for new Packaging Material (PM) specifications.	Buyer, Memo on Request for Outsourcing / Outsourced PM Vendor
R&D Supervisor (PM)	4. Performs procedure on 'Processing Graphic Designs'.	SOP on Processing Graphic Designs/ PM Design
PCT	5. Is laboratory production necessary? 5.1. If YES, proceed to activity 6. 5.2. If NO, proceed to activity 13.	R&D Supervisor (Operations)/ RM specifications
R&D Supervisor (RM)	6. Coordinates with the Buyer for new Raw Material (RM) specifications.	Buyer, Memo on Request for Outsourcing / Outsourced RM Vendor
R&D Supervisor (Operations)	7. Conduct laboratory production.	R&D Supervisor (RM) and R&D Supervisor (PM)/ Product standards and parameters
R&D Supervisor (Operations)	8. Product requirements met? 8.1. If YES, proceed to activity 9. 8.2. If NO, proceed to activity 7.	SOP on Conducting Product Sensory Evaluation, Product Evaluators/ Evaluated Product
R&D Supervisor (Operations)	9. Conduct batch Production Trial Run and Shelf Life Study.	Production Planner, Production Supervisor, SOP on Shelf Life Study / Product Shelf Life
R&D Supervisor (Operations)	10. Product requirements met? 10.1. If YES, proceed to activity 11. 10.2. If NO, proceed to activity 9.	SOP on Conducting Product Sensory Evaluation, Product Evaluators/ Evaluated Product
R&D Supervisor (Operations)	11. Creates Product Profile.	R&D Supervisor (RM) and R&D Supervisor (PM)/ Product Profile

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RESPONSIBLE	ACTIVITY	INTERFACE/OUTPUT
R&D Manager	12. Reviews and approves Product Profile.	Product Creation Team / Dissemination of approved Product Profile
PCT	13. Is Product Launching necessary? 13.1. If YES, proceed to activity 14. 13.2. If NO, end.	PMG Supervisor, Marketing Supervisor
Marketing Supervisor	14. Create a Marketing Plan.	PMG Supervisor, Distribution Plan/ Marketing Plan
Marketing Manager	15. Review and approve the Marketing Plan.	R&D Supervisor (Operations)/ Dissemination of approved Marketing Plan
R&D Supervisor (Operations)	16. Creates Product Launching Form	R&D Supervisor (RM) and R&D Supervisor (PM)/ Product Launching Form
R&D Manager	17. Review and approve the Product Launching Form.	Product Creation Team / Dissemination of approved Product Launching Form
R&D Supervisor (Operations)	18. Facilitates scheduling for Product Launching.	PCT, Annex A / Product Launching Schedule
PMG Supervisor	19. Oversees preparation for and implementation of Product Launching.	PCT, Annex A
Marketing Supervisor and PMG Supervisor	20. Evaluate Product Performance. end	Selling Operations/ Product Sales Report, Marketing Promo Report

4.2 Creation of the product shall go through the following necessary phases:

Table 1

Process	New Product	Modified Product	
		Reformulation	Packaging
Product Conceptualization	Yes	Yes	Yes
Product Development			
Packaging Development	Yes	No	Yes
Laboratory Production	Yes	Yes	No
Shelf Life Study	Yes	Yes	Yes
Batch Production Trial Run	Yes	Yes	No

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Product Sensory Evaluation	Yes	Yes	No
Product Launching	Yes	No	Yes
Product Evaluation	Yes	Yes	Yes

4.3 All deliberation done for product creation shall be covered by the minutes of the meeting.

4.4 Product Conceptualization

4.4.1 Product conceptualization shall cover the rationale of product creation which includes details such as expected product quality, target market, and marketing strategies.

4.4.2 At a minimum, the following information shall be gathered when conducting market research:

4.4.2.1 Competitor's product and marketing schemes
4.4.2.2 Preference of Target Customers
4.4.2.3 Customer feedback on existing products

4.4.3 Market research results shall be presented to the Product Creation Team on the following schedule:Table 2

Product Type	Schedule
New	Semi-annual; Six months before the target product launching date
Modified: Reformulation	Every first Friday of February, May, August, and November (the last month of each quarter)
Modified: Change Packaging	

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4.5 Product Development

4.5.1 The product development phase shall only be prompted after the deliberation of the market research result.

4.5.2 Product development shall be conducted for at most three months only and the results of this phase shall be presented to the PCT thereafter.

4.5.2.1 Only a maximum of three (3) trials shall be done for Laboratory Production and Batch Production Trial Run.

4.5.3 Outsourcing of new raw materials needed for product development, excluding the process of Vendor accreditation, shall be within 30 days after the placement of the request. Outsourcing of new packaging materials shall be based on the timeline set on the SOP for Processing Graphic Designs.

4.5.4 Laboratory production shall be conducted to establish, at a minimum, the following product standards and parameters and document these on the Product Profile:

4.5.4.1 Formulation

4.5.4.2 Estimated batch production cost and yield, including Food Cost and Paper Cost

4.5.4.3 Production procedure

4.5.4.4 Organoleptic specifications

4.5.4.5 Product Characteristics and Shelf Life

4.5.4.6 Storage and Handling Requirements

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4.5.5 Products derived from Laboratory Production and Batch Trial Production Runs shall not be sold and shall only be consumed by authorized evaluators and/or company associates. Any information about the product shall not be disclosed to the public before the product launch.

4.5.6 All expenses incurred during the product development phase shall be documented in the Trial Expense Form to monitor cost and ensure that this does not exceed beyond the allotted budget.

4.6 Product Launching and Evaluation

4.6.1 A schedule of activities in preparation for the product launching shall be set after the approval of the Product Launching Form. See Annex A for the timeline Gantt Chart.

4.6.2 Distribution Form shall be accomplished to define the quantity allocation per store branch. The defined quantity must be agreed upon by the Marketing Department, Commissary, and Selling Operations Heads.

4.6.3 There shall be a minimum order requirement for new products and this shall be complied with for 45 days from the launching date.

4.6.4 New products shall be evaluated based on their market performance for at least three months. Product Launching Evaluation Report shall be accomplished seven (7) working days thereafter.

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5.0 References and Records

5.1 Conducting Product Sensory Evaluation

5.2 Processing Graphic Designs

5.3 Trial Expense Form

5.4 Product Profile

5.5 Conducting Shelf Life Study

5.6 Marketing Plan

5.7 Product Launching Form

6.0 Roles and Responsibilities

6.1 Product Management Group Supervisor

6.1.1 Conducts market research and ensures on-time reporting of results and clear definition of product concept.

6.1.2 Ensures that target sales for the created product are met by strategically creating the distribution plan.

6.1.3 Sets the required minimum order quantity for new products for 45 days.

6.1.4 Evaluate product sales performance.

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6.2 **Marketing Supervisor**

6.2.1 Creates a competitive promotional plan fitted for the product to be launched.

6.2.2 Evaluate Marketing Promotion Performance during the Product Launching.

6.3 **Research and Development Supervisor - Raw Materials and Packaging Materials (RM/PM)**

6.3.1 Sets specifications for new RM/PM needed for product creation.

6.3.2 Requests new RM/PM needed for product creation.

6.3.3 Ensures that new RM/PM complies with the set specifications.

6.3.4 Conducts shelf life study of the new RM/PM.

6.4 **Research and Development Supervisor - Operations**

6.4.1 Sets specifications for finished products, production standards, and parameters and thoroughly cascades the information to the Production Planner (Order Taker/ Inventory/ Dispatch) and concerned Production Supervisors.

6.4.2 Monitors cost incurred during the Product Development process.

6.4.3 Ensures that yield from Batch Production Trial Run meets the set product specifications.

6.4.4 Conducts shelf life study.

6.4.5 Ensures updating of the PCT on the product development status.

6.4.6 Consolidates forms needed as an attachment to the Product Launching Form upon dissemination.

6.5 **Buyer**

6.5.1 Outsources RM/PM needed for product creation.

6.5.2 Ensures on-time delivery of ordered RM/PM.

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6.6 **Quality Assurance Supervisor**

6.6.1 Validates result of shelf life study conducted by the R&D department.

6.6.2 Facilitates product knowledge training for created products.

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Annex A: Product Launching Activity Gantt Chart

Activity	No. of Days Prior Product Launching																				
	60	55	50	45	40	35	30	25	20	15	10	9	8	7	6	5	4	3	2	1	0
Research and Development Department																					
Approval of Product Launching Form	■																				
Dissemination of PLF and corresponding forms	■																				
Recommendation for product encoding in the system																■					
Operations Support																					
Encoding of product details in the system																		■			
Marketing Department																					
Processing of marketing paraphernalia				■	■	■	■	■	■	■	■	■									
Conducting marketing scheme orientation											■	■	■	■							
Availability of marketing paraphernalia in the store														■							
Quality Assurance Department																					
Conducting Product Knowledge Seminar														■							
Selling Operations Department																					
Installation of marketing paraphernalia																				■	
Product Launching Date																					

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